668 Final Project: Land Book

By: Hannahuel Kibble and Paige Davis

Proposed 103-Lot Residential Development

Northeast Corner of FM 362 and Owens Road

Waller County, Texas

l . Executive Summary

11. Financial Analysis

lll. Market Analysis

lV. Land Summary and Risk Assessment

V. Land Purchase Contract

I. Executive Summary

The proposed development consists of the acquisition and development of approximately 24.127 acres located at the northeast corner of FM 362 and Owens Road in Waller County, Texas. The project is planned as a 103-lot single-family residential community within Waller County Municipal Utility District No. 38 and zoned to Waller Independent School District. The development will not include amenities and is intended to provide attainable housing options that align with current demand in the northwest Houston growth corridor.

The proposed product will consist of single-family homes modeled after the HistoryMaker Homes offerings in the nearby Attwater community, with home sizes ranging from approximately 1,491 to 1,631 square feet and base pricing in the low-to-mid $300,000 range. The project is designed to target entry-level and move-up homebuyers seeking affordability and a functional design. The subject property benefits from strong regional growth trends in Waller County, driven by outward expansion from Houston and increasing demand for affordable housing alternatives. The site offers direct access to FM 362 and Owens Road, providing connectivity to surrounding developments and major transportation routes. Additionally, the property is supported by existing infrastructure, including water and sewer service through WCMUD 38, and presents minimal entitlement risk due to the absence of zoning restrictions and prior preliminary plat approval.

From a financial standpoint, the project is supported by a competitive cost structure and favorable absorption assumptions derived from the discounted cash flow model. Continued demand for single-family housing in the submarket, combined with limited supply at this price

point, supports a steady pace of lot absorption and revenue generation. The development is expected to produce an attractive return profile with manageable risk exposure. Based on the strength of the market, the strategic location of the site, and the overall financial feasibility of the project, it is recommended that the Asset Management Committee approve the acquisition and development of the subject property.

ll. Financial Analysis

The total cost for the project is approximately $9.3 million, which includes land acquisition, development costs, and interest expense. The land purchase accounts for about $2.1 million, while development costs make up roughly $6 million. Interest over the life of the project is estimated at around $450,000. This project is primarily financed through debt, with about 85% of the total cost covered by a loan, or approximately $7.3 million. The remaining $2 million is equity, representing the upfront investment required to move the project forward. This structure allows most of the cost to be financed while keeping the equity requirement relatively manageable.

On the revenue side, the project is expected to generate approximately $12.1 million from lot sales. After accounting for all costs, the projected profit is about $2.8 million. This profit is realized over time as lots are sold and the loan balance is reduced. Moving forward, the internal rate of return (IRR) is approximately 22.5%, which indicates a strong return for a project of this type. This suggests the deal is financially attractive given the level of investment and expected timeline. There are opportunities to improve this return, such as increasing lot pricing if market conditions allow, reducing development costs, or improving the pace of lot sales. You can see

that profit is distributed over the course of the project, with a larger portion realized in the later stages once more lots have been sold and debt has been paid down. Early phases of the project require higher upfront costs, but cash flow improves as sales progress.

Moreover, the financials support moving forward with the project. The costs, financing structure, and projected returns align well, and the deal shows the potential to generate a solid profit while maintaining a reasonable level of risk.

lll. Market Analysis

The Houston metro area is growing. This growth supports demand for new housing. In 2024, Houston's GDP reached about $758.3 billion, making it one of the largest economies in the country. Growth has remained strong in recent years and is higher than the national average. From the Glance market update, we know that Houston has a diverse economy. Key industries include manufacturing, professional services, and real estate. This helps keep the market stable and supports overall population growth. These favorable conditions support new residential development, especially in areas like Waller County.

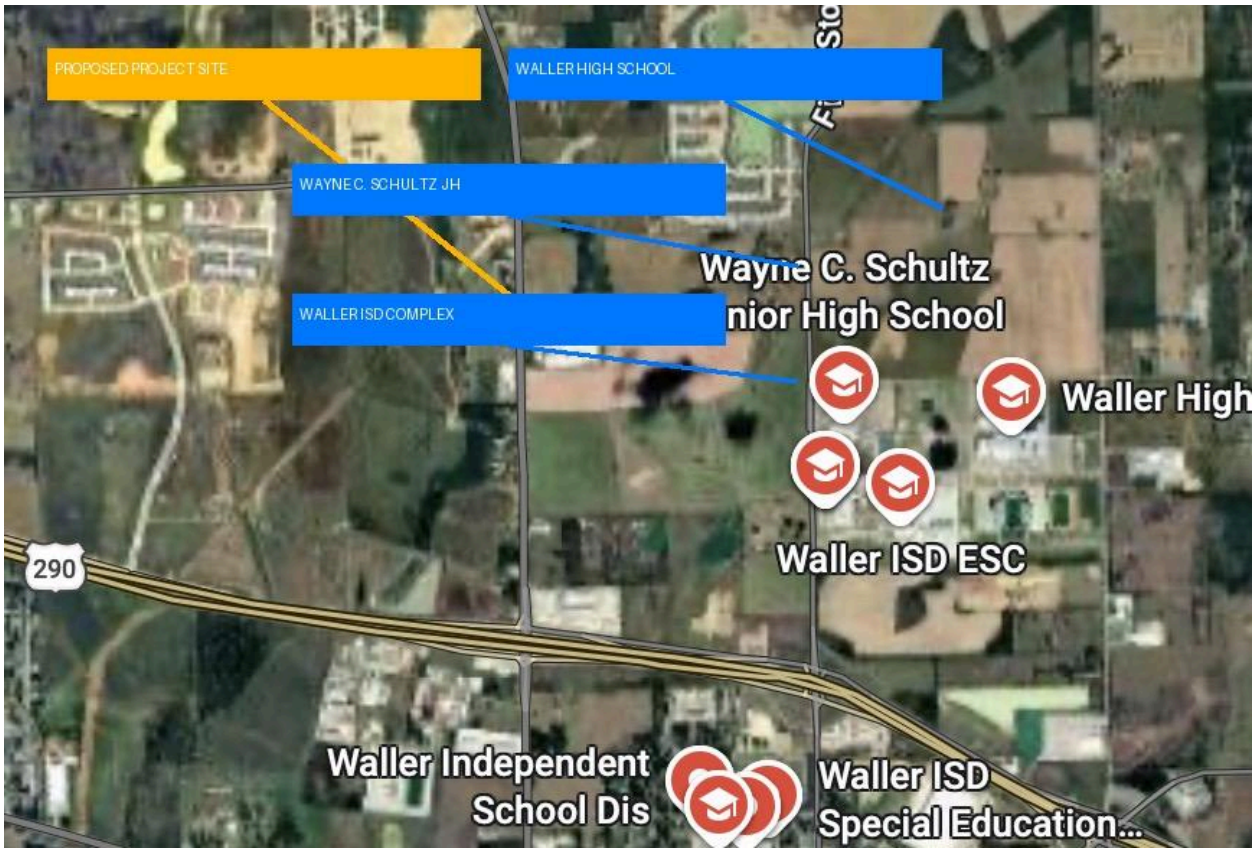
CBAS Report - Competitive Communities

Communities	Quarterly Closings
Jubilee	62
Attwater	51
Oakwood Estates	42

Total	**155**

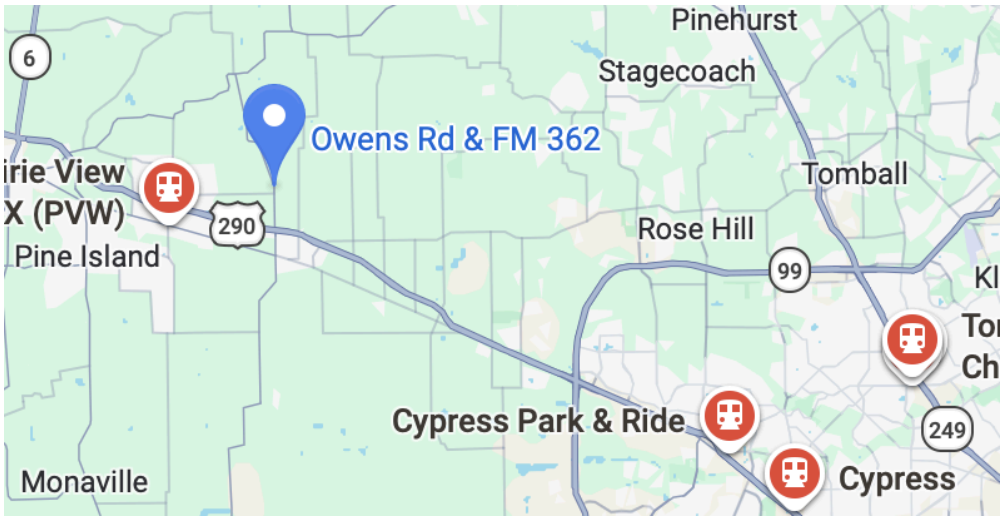
The submarket surrounding the subject property includes several active residential communities, including Jubilee, Attwater, and Oakwood Estates. These communities offer a range of lot sizes and price points and are being developed by multiple builders such as Chesmar, David Weekley, Perry Homes, and Tri Pointe. Based on the CBAS report, the competing communities have approximately 3,263 future lots in aggregate, indicating a strong pipeline of supply in the submarket. In terms of demand, the competition recorded a total of 135 quarterly closings, showing steady absorption across the area. These trends suggest that while there is significant supply, there is also consistent buyer activity, supporting continued development in the market.

School Overview



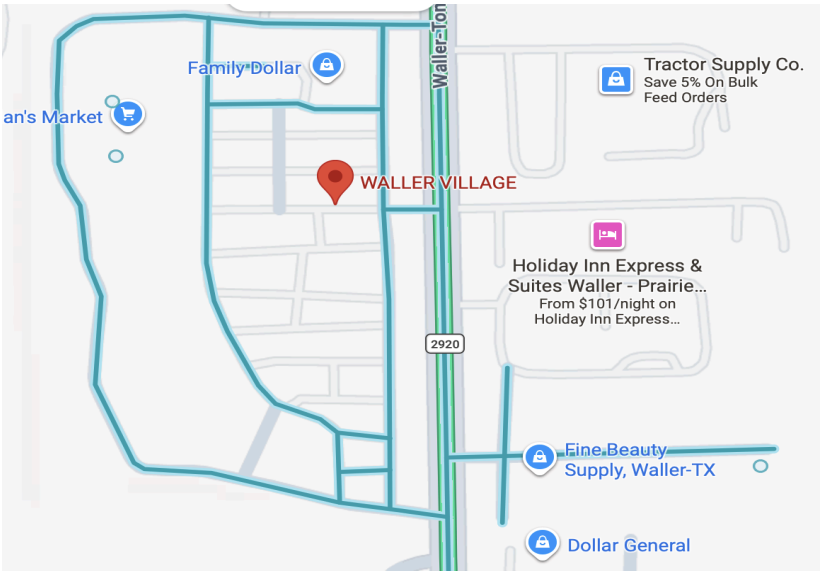
The property is located within Waller Independent School District (Waller ISD), which provides access to public schools in the area. Schools in Waller ISD are generally rated in the average range; around 7/10 , which supports demand from families looking for affordable housing options.

Transportation Overview



The site has access to FM 362 and Owens Road, which connect to larger road networks and allow residents to commute to nearby employment centers in the Houston metro area. Though seemingly far, the location does provide accessibility for working residents by way of Cypress, Prairie view, and Katy bus stops.

Shopping and Employment



This land benefits from proximity to local employment and retail services located along the FM 362 corridor in Waller. Nearby businesses include Waller Village, which serves as a small retail hub, along with tenants such as O'Reilly Auto Parts, T-Mobile, and a market. These uses provide convenient access to everyday goods and services for future residents. In addition, the presence of nearby schools and local commercial activity supports employment opportunities within the area, particularly in education, retail, and service sectors. While the immediate area is low-density, the site still maintains access to larger employment centers throughout the northwest Houston region via nearby roadways, making it a practical location for commuters.

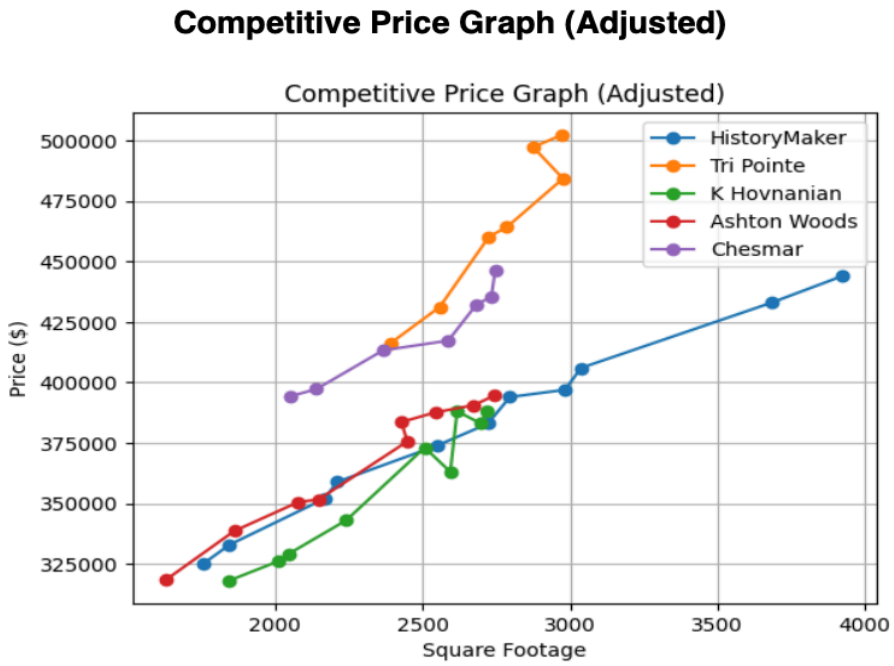
Subject Property Market Summary

Plan	Sq Ft	Price
1754	1,754	$324,990
1845	1,845	$332,990
2167	2,167	$351,990
2211	2,211	$358,990
2550	2,550	$373,990
2721	2,721	$382,990

The Waller project includes 103 lots, with sales expected to follow the pace shown in the DCF model. This pace suggests the lots can be sold steadily over time without oversupply. Pricing for the homes ranges from about $324,990 to $382,990, based on the HistoryMaker plans. This shows that the lot supply, sales pace, and pricing are aligned and support a stable development.

1	**SALES PROCEEDS**	
2		
3		
4		***Total***
5	**668 Final Project: Kent Anderson DCF Model**	
6	Lot Closing Schedule	103
7	**Cumulative Lot Absorption**	
8		
9	**668 Assignment**	
10	Total Lots Sales	8,755,000
11	Escalation	809,625
12	**Total Sales With Escalation**	**9,564,625**
13		
14		
15	MUD Reimbursement	2,556,192
16		
17		
18	TOTAL SALES w ESCALATION & MUD REIMB.	12,120,817
19		

Competition Market Summary



Jubilee is a large master-planned community offering a wide range of home options from multiple builders. Tri Pointe offers homes ranging from approximately 2,391 to 2,972 square feet, with base prices from about $406,900 to $492,900. Chesmar offers slightly smaller plans ranging from about 2,051 to 2,746 square feet, with prices from approximately $386,990 to $438,990. Together, these builders provide a mix of mid- to upper-range housing options. Based on the CBAS report, Jubilee communities have strong demand, contributing significantly to the overall quarterly closings in the submarket.



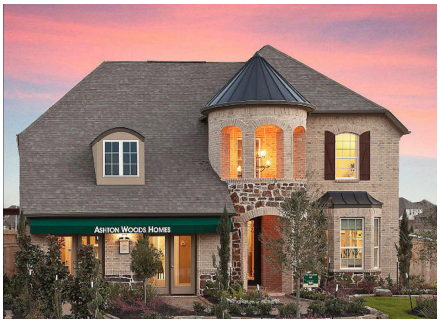




Oakwood Estates offers more entry-level to mid-range housing options compared to Jubilee. K. Hovnanian provides homes ranging from approximately 1,842 to 2,716 square feet, with base prices between $299,950 and $369,950. Ashton Woods offers plans from about 1,631 to 2,744 square feet, with prices ranging from roughly $301,000 to $377,000. Contrary to Jubilee and Chesmar, two builders target a slightly more affordable buyer segment while still offering a range of sizes and layouts. Oakwood Estates contributes to overall market activity and supports steady absorption across the submarket.





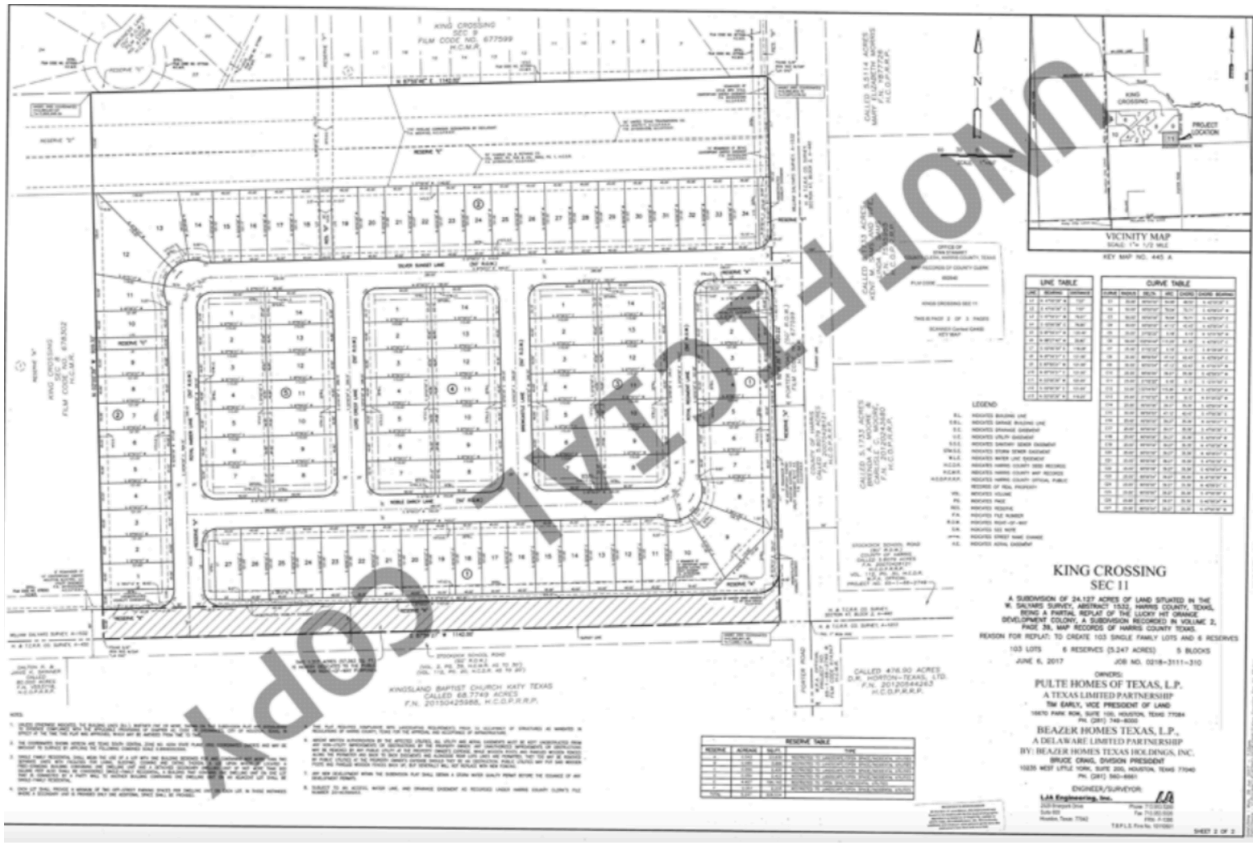


Competitors Summary Table

The table below shows how Jubilee is positioned with larger homes and higher price points, while Oakwood Estates offers smaller and more affordable options.It's important because then you can understand where the subject project fits within the market. The quarterly closings also show that both communities are actively selling homes, which supports the idea that there is steady demand in the area.

Community	Builder	Lot Size	Base Price Range	Square Foot Range	Quarterly Closings
Jubilee	Tri Pointe	50'–55'	$406,900 – $492,900	2,391 – 2,972	62
Jubilee	Chesmar	50'–55'	$386,990 – $438,990	2,051 – 2,746	62
Oakwood Estates	K. Hovnanian	55'	$299,950 – $369,950	1,842 – 2,716	42
Oakwood Estates	Ashton Woods	55'	$301,000 – $377,000	1,631 – 2,744	42

lV. Land Summary and Risk Assessment



The proposed project involves the purchase and development of approximately 24.127 acres at the northeast corner of FM 362 and Owens Road in Waller County, Texas. The site will be developed into a 103-lot single-family residential community that fits the area's current growth. Waller County has already approved the preliminary plat, allowing the project to move forward without additional entitlement requirements.

The development is planned as a straightforward residential community offering attainable housing similar to nearby projects. The site has access to utilities through WCMUD 38 and is not limited by zoning restrictions. There are no major environmental, access, or floodplain concerns so the project has a clear path forward with minimal risk to cost or schedule.

Development Schedule

Task	Date
Earnest Money	July – Year 1
Closing	July – Year 1
Lot Completion	July – Year 2
Dry Utilities	September – Year 2
Entry & Landscaping	October – Year 2
Last Home Closed	April – Year 5
Model Home Completion	November – Year 2

The project in Waller County, based on the assumptions below, presents minimal development risk. There are no noted zoning restrictions, confirmed utility capacity through WCMUD 38, no environmental concerns, and no floodplain or access issues.

Land Use, Zoning, and Entitlements - Diligence Summary

A. Is an Annexation into the city limits planned or needed?

No. The property is located in unincorporated Waller County and does not require annexation.

B. Is this property's Land Use consistent with applicable plans?

Yes. The proposed single-family residential development is consistent with surrounding land uses.

C. Is there an Approval Process required outside of rezoning?

No. Preliminary plat has already been approved by Waller County, and no additional approval process is required.

D. Other:

No entitlement risks identified.

Zoning

A. Do the Proposed Use and Product Type match zoning?

Yes. Waller County does not have a zoning ordinance, so the proposed use is permitted.

B. Density Allowed per Existing Zoning:

Not applicable.

C. Density Anticipated:

Approximately **103 lots on 24.127 acres**.

D. Rezoning Required?

No.

E. Zoning Risks?

None identified.

F. Other:

No zoning-related constraints.

Water and Sewer Availability

A. Letter verifying capacity obtained?

Capacity has been confirmed through **WCMUD 38**.

B. Moratorium or capacity concerns?

None.

C. Infrastructure expansion required?

No.

D. Costs associated?

Yes, all utility costs are included in the DCF and land development budget.

E. Other:

Utilities are available along Owens Road.

Unsuitable Soils

A. Investigation method:

Geotechnical study with **three soil borings** conducted.

B. Soil conditions and impact:

Moderately expansive clay; no impact to land development schedule.

C. Cost calculation:

Additional **$300–$500 per home**, paid by builders (not included in land development costs).

D. Other:

No impact to project feasibility.

Environmental

A. Environmental study results:

Phase I report shows no recognized environmental concerns.

B. Wetlands impact:

- On-site: None
- Off-site: None

C. Wetlands delineation:

Not required.

D. Permits required?

No.

E. Permit schedule impact:

None.

F. Cultural/Archeological results:

No issues identified.

G. Endangered species impact:

None.

H. Other:

No environmental risks.

Transportation and Access

A. Traffic Impact Analysis required?

No.

B. Access approval concerns?

None.

C. Improvements required?

No major improvements required.

D. Future road impacts?

None identified.

E. Other:

Access provided via FM 362 and Owens Road.

Survey and Title

A. Attorney involved?

Yes.

B. Title or survey issues?

None.

C. Disclosure required to buyers?

No.

D. Mineral estate status:

Assumed included or not impacting development.

E. Other:

Clear title confirmed.

Encumbrances

A. Impact of easements/encumbrances:

None.

B. Removal plan:

Not applicable.

C. Impact if not removed:

None.

D. Other:

No encumbrances affecting the site.

Adjacent Land Uses

A. Objectionable uses nearby?

No.

B. Description:

Surrounding uses are compatible with residential development.

Easements and Rights-of-Way

A. Needed?

None.

B. Cost included?

Not applicable.

C. Obtained prior to closing?

Not required.

D. Concerns?

None.

E. Impact if not obtained:

None.

F. Other:

No offsite easements required.

Flood Zones

A. Floodplain impact:

Property is **not in the 100-year floodplain**.

B. LOMR required?

No.

C. Impact if delayed/denied:

Not applicable.

D. Other:

No flood-related risk.

Stormwater / Drainage

A. Drainage analysis required?

Yes, completed and approved during feasibility.

B. Easements required?

No.

C. Costs:

Included as **pro-rata detention cost** in DCF.

D. Risk if not obtained:

None.

Survey and Title

A. Attorney involved?

Yes.

B. Title or survey issues?

None.

C. Disclosure required to buyers?

No.

D. Mineral estate status:

Assumed included or not impacting development.

E. Other:

Clear title confirmed.

Encumbrances

A. Impact of easements/encumbrances:

None.

B. Removal plan:

Not applicable.

C. Impact if not removed:

None.

D. Other:

No encumbrances affecting the site.

Adjacent Land Uses

A. Objectionable uses nearby?

No.

B. Description:

Surrounding uses are compatible with residential development.

Easements and Rights-of-Way

A. Needed?

None.

B. Cost included?

Not applicable.

C. Obtained prior to closing?

Not required.

D. Concerns?

None.

E. Impact if not obtained:

None.

F. Other:

No offsite easements required.

Flood Zones

A. Floodplain impact:

Property is not in the 100-year floodplain.

B. LOMR required?

No.

C. Impact if delayed/denied:

Not applicable.

D. Other:

No flood-related risk.

Stormwater / Drainage

A. Drainage analysis required?

Yes, completed and approved during feasibility.

B. Easements required?

No.

C. Costs:

Included as **pro-rata detention cost** in DCF.

D. Risk if not obtained:

None.

V. Contract

Nature:

This transaction involves the purchase of approximately 24.127 acres of raw land located at the northeast corner of FM 362 and Owens Road in Waller County, Texas. The property will be acquired for the purpose of developing a 103-lot single-family residential subdivision. As previously stated in the analysis portion, the site has already received preliminary plat approval, which reduces development risk and allows the project to move forward without additional entitlement requirements.

Financial Obligations:

The purchase price is based on the DCF assumptions for acquiring approximately 24.127 acres to develop a 103-lot subdivision. The transaction is straightforward, with no price participation, seller financing, or co-op marketing fees. All development costs, including utilities and pro-rata detention, are already accounted for in the DCF, with no additional financial obligations affecting the project timeline.

Disclosures:

- **Have there been any disclosures made by the Seller?**

  No material disclosures have been identified. Environmental reports, survey, and title review indicate no conditions requiring disclosure.

- **Has the Seller required us to make any sales contract disclosures to our Buyers?**

  No. There are no known site conditions, title issues, or regulatory requirements that would require additional disclosures to future homebuyers.

Non Standard Provisions:

- **Lawyer concerns about validity or enforceability?**

  None identified. The transaction is straightforward with no unusual legal risks.

- **Broker Commission?**

  None identified. No broker commission obligation is included in the DCF or assumptions.

- **Control of development (Seller or third-party)?**

  No. The Buyer retains full control over development, design, construction, and operations.

- **Master HOA?**

  None identified at this stage. No impact or fees assumed in the DCF.

- **Limitations on survival of reps and warranties?**

  None identified. Standard survival assumed.

- **Spec home requirements?**

  None. No builder or Seller-imposed requirements.

- **Utility / district solvency concerns?**

  None. Property is within **WCMUD 38**, which has confirmed capacity and no identified financial concerns.

- **Rollback tax obligations?**

  None identified in assumptions.

- **Unusual taxes or assessments?**

  None. Standard MUD taxation applies (**~$2.96 per $100 valuation**), already accounted for.

- **Low-income housing requirements?**

  None.

- **Seller buy-back provisions?**

  None.

- **Clear title / mechanics liens concerns?**

  None. Title review confirmed no issues affecting development.

- **Cross default provisions?**

  None identified.

- **Builder indemnification obligations?**

  None beyond standard contractual protections.

- **Insurance requirements to cover Seller?**

  None beyond typical construction and liability coverage.

- **Seller rights to Builder architectural plans?**

  No. Seller has no rights to use plans upon default.

- **Tax-free exchange (1031)?**

  None required or assumed.

- **Mineral & gas rights included?**

  Assumed included or not impacting development (no issues identified in title review).

- **Title exceptions requiring disclosure?**

  None. No easements, encumbrances, or restrictions impacting development or requiring disclosure.

- **Other:**
  - Site is not in a floodplain
  - No wetlands or environmental concerns
  - Flat topography (<2%) supports development
  - No offsite easements required
  - All utilities available at site